

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE	CONSENSUS (MARKET)
USD 219.66		USD 119.24		-45.7%	USD 300.00
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	12.0% Discount rate (CAPM)	USD 119.24 -46% vs market	USD 300.00 what the market believes

Reading the valuation. Our intrinsic DCF values NVDA at USD 119.24, against a market price of USD 219.66 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 82%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

An exceptional franchise, but at USD 220 the market is pricing in growth and margins materially above our conservative base case, leading to significant downside risk.

Business quality: Exceptional · **Stock:** SELL — NVIDIA demonstrates exceptional business quality with rapid revenue growth (FY2024 +126%, FY2025 +114%) and expanding operating margins (projected 60%+ by FY2026), driven by leadership in AI infrastructure and data center innovation.

What the market prices in. The current share price implies an aggressive first-year revenue growth of approximately 82% with sustained high growth thereafter, alongside operating margins exceeding 60%, reflecting near-bull case expectations.

What we expect. Our base case assumes more moderate revenue growth of 50% in year one, decelerating thereafter, and terminal operating margins of 48.3%, reflecting normalization as competitive pressures and execution risks emerge.

The gap. The market's pricing assumes near-bull scenario growth and margin expansion that we view as overly optimistic given execution risks and potential macro headwinds; this gap results in a 46% downside to our intrinsic DCF fair value of USD 119.24.

Why SELL

1. Current valuation implies sustained hyper-growth (82%+ revenue growth year one) which is well above our 50% forecast, risking multiple compression if growth slows.
2. Operating margins are expected to normalize to 48.3% in the terminal period, significantly below the 60%+ margins implied by market pricing.
3. High operating expense growth (expected +30-40% in FY2026) could pressure profitability if revenue growth decelerates.
4. Geopolitical risks and supply chain uncertainties, such as no assumed H2O shipments to China, could constrain growth.
5. The probability-weighted fair value of USD 142.03 still implies nearly 35% downside, reinforcing valuation risk despite strong fundamentals.

Biggest catalyst. A quarterly earnings report showing revenue growth or margin expansion materially below market expectations, triggering a re-rating lower.

Biggest risk. Faster-than-expected adoption of AI infrastructure and data center products driving revenue and margin expansion beyond our base case assumptions.

We would turn more positive if:

- Sustained quarterly revenue growth above 80%, confirming market's high growth expectations.
- Operating margins consistently exceeding 60%, validating premium valuation multiples.
- Successful expansion into new markets such as China or Europe with minimal geopolitical disruption.

We would turn more negative if:

- Revenue growth falling below 40% in upcoming quarters, signaling demand softness.
- Operating margin contraction below 45% due to rising costs or competitive pressures.
- Delays or cancellations in key product launches or partnerships impacting AI infrastructure adoption.

The case against our view. The market's bullish view is supported by NVIDIA's dominant position in AI and data center markets, with recent partnerships and product launches potentially enabling sustained hyper-growth and margin expansion that justify current valuations.

BUSINESS OVERVIEW

NVIDIA's revenue is predominantly driven by its Compute & Networking segment, reflecting its strategic focus on AI and accelerated computing platforms.

NVIDIA's business is divided into two main operating segments: Compute & Networking and Graphics. In fiscal 2026, Compute & Networking generated \$193.5 billion in revenue, accounting for approximately 90% of total revenue of \$215.9 billion, while Graphics contributed \$22.5 billion or about 10% [1]. This concentration indicates that NVIDIA's core business and profit engine is its Compute & Networking segment, which includes data center computing and networking products. The dominance of this segment suggests that NVIDIA's growth and profitability are heavily reliant on continued demand for AI and accelerated computing solutions. This reliance will persist as long as AI workloads and cloud infrastructure expansion remain robust, but could be challenged if competitors erode NVIDIA's technological lead or if AI adoption slows.

NVIDIA sells primarily to direct customers such as add-in board manufacturers, distributors, original design manufacturers (ODMs), original equipment manufacturers (OEMs), cloud service providers (CSPs), AI model makers, and system integrators, who then supply indirect customers including enterprises and public sector entities [6][7]. The company's revenue is highly concentrated, with one direct customer representing 22% and another 14% of total revenue in fiscal 2026, both mainly within Compute & Networking [3][6]. This concentration implies significant customer dependency, which can create revenue volatility if any major customer reduces orders. However, the diversity of indirect customers and the expanding AI ecosystem may mitigate this risk over time, provided NVIDIA maintains its product leadership and customer relationships.

Geographically, NVIDIA's revenue is primarily sourced from customers headquartered in the United States, which accounted for \$149.6 billion or about 69% of total revenue in fiscal 2026, followed by Taiwan at \$42.3 billion and China at \$19.7 billion [2]. Notably, a large portion of Taiwan-headquartered customers' data center revenue is ultimately attributed to end customers in the US and Europe [3]. This geographic concentration in the US market aligns with the global leadership of US-based cloud and AI companies driving demand for NVIDIA's products. The sustainability of this geographic revenue profile depends on continued US dominance in AI and cloud computing, as well as geopolitical factors that could affect supply chains or customer access.

NVIDIA's revenue growth is driven by its accelerated computing platforms, especially the Blackwell architecture for data center computing and networking, which saw 59% and 142% growth respectively in fiscal 2026 [6]. Graphics revenue also grew due to Blackwell architecture sales. This product-driven growth underscores NVIDIA's strategic pivot towards AI and data center solutions as the primary revenue driver, moving away from traditional graphics markets. The sustainability of this growth depends on NVIDIA's ability to innovate and scale its AI platforms amid evolving customer needs and competitive pressures, as well as managing inventory risks highlighted by recent excess inventory charges [5][6].

- Compute & Networking segment accounted for \$193.5 billion or 90% of total revenue in fiscal 2026, confirming NVIDIA's core business focus on AI and data center solutions.
- Two direct customers represented 36% of total revenue in fiscal 2026, indicating significant customer concentration risk within the Compute & Networking segment.
- 69% of revenue came from US-headquartered customers in fiscal 2026, reflecting dependence on the US market and its AI/cloud ecosystem.
- Data Center computing and networking revenue grew 59% and 142% respectively in fiscal 2026, driven by the Blackwell platform, emphasizing NVIDIA's AI-centric product strategy.
- Graphics segment revenue was \$22.5 billion in fiscal 2026, a smaller but growing portion driven by new architecture sales.
- Inventory-related charges impacted gross margins, signaling operational risks that could affect segment profitability if not managed.

What it means. NVIDIA's business model is deeply embedded in AI-driven data center computing, making its investment case reliant on sustained leadership in accelerated computing platforms and strong customer relationships within a

concentrated but expanding market.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77
- [2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [3] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [4] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22
- [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [7] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

FINANCIAL PERFORMANCE

NVIDIA's fiscal 2026 financial surge reflects AI-driven demand but margin pressure and inventory charges may temper near-term profitability.

NVIDIA's revenue jumped 65% to \$215.9 billion in fiscal 2026, driven primarily by Data Center growth of 68% and strong Gaming and Professional Visualization segments, fueled by Blackwell architecture demand and new product launches like DGX Spark [1][2]. This surge signals the company's successful capitalizing on accelerated computing and AI trends, validating its strategic focus. However, sustaining this growth depends on continued innovation and supply chain stability, as management warns of upcoming Gaming supply constraints [2].

Gross margin declined by 3.9 percentage points to 71.1% due to a strategic shift from Hopper HGX to Blackwell full-scale datacenter solutions and a significant \$4.5 billion charge related to H2O excess inventory and purchase obligations [1][8]. This margin compression indicates NVIDIA is investing heavily in next-generation platforms but also facing inventory management challenges that temporarily erode profitability. The persistence of these margin pressures hinges on successful inventory normalization and cost efficiencies in Blackwell production; failure to manage these could prolong margin headwinds.

Operating expenses rose 41% to \$23.1 billion, driven by higher compensation costs from employee growth and increased compute and infrastructure expenses to support new product development [1][4][7]. Despite this, operating income grew 60% to \$130.4 billion, reflecting strong operating leverage from revenue growth outpacing expense increases [1]. The sustainability of this leverage depends on NVIDIA's ability to control expense growth as it scales, particularly in R&D; and infrastructure, which are critical for maintaining competitive advantage but could pressure margins if unchecked.

NVIDIA's net cash from operations surged to \$102.7 billion, up 60% year-over-year, supporting robust free cash flow generation despite increased investing and financing outflows [5][6]. This strong cash flow underpins NVIDIA's capacity to fund innovation and strategic investments without compromising financial flexibility. Continued cash flow strength will be essential to sustain growth initiatives and weather potential market volatility.

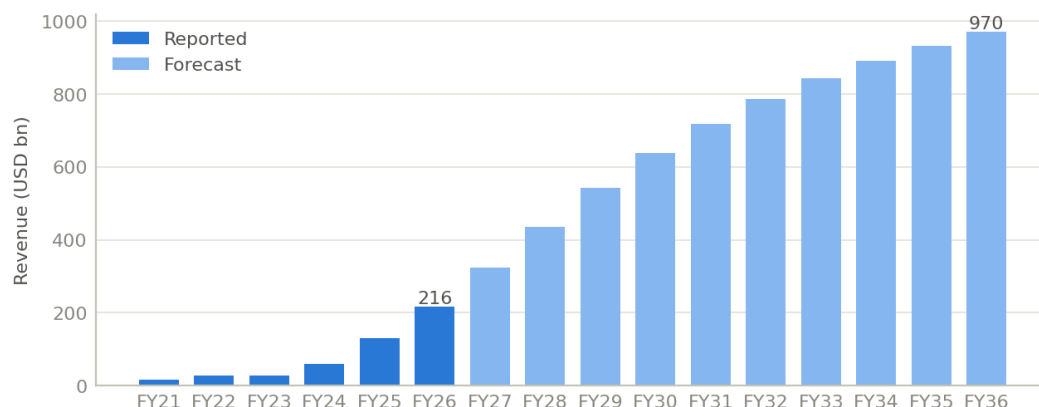
- 65% revenue growth to \$215.9 billion driven by AI and accelerated computing validates NVIDIA's strategic focus on Data Center and Gaming [1][2].
- Gross margin fell 3.9 points to 71.1% due to transition to Blackwell solutions and a \$4.5 billion H2O inventory charge, signaling margin pressure from product mix and inventory issues [1][8].
- Operating expenses rose 41% to \$23.1 billion, reflecting investments in talent and infrastructure necessary to support growth, but operating income still increased 60%, showing strong operating leverage [1][4].
- Net cash from operations increased 60% to \$102.7 billion, enabling NVIDIA to fund innovation and growth initiatives while maintaining financial flexibility [5][6].
- Supply constraints in Gaming expected to be a near-term headwind, indicating some risk to sustaining segment momentum [2].

What it means. NVIDIA's financial performance confirms its leadership in AI-driven markets but margin pressures and inventory risks require monitoring, making growth sustainable if operational execution and supply chain issues are managed effectively.

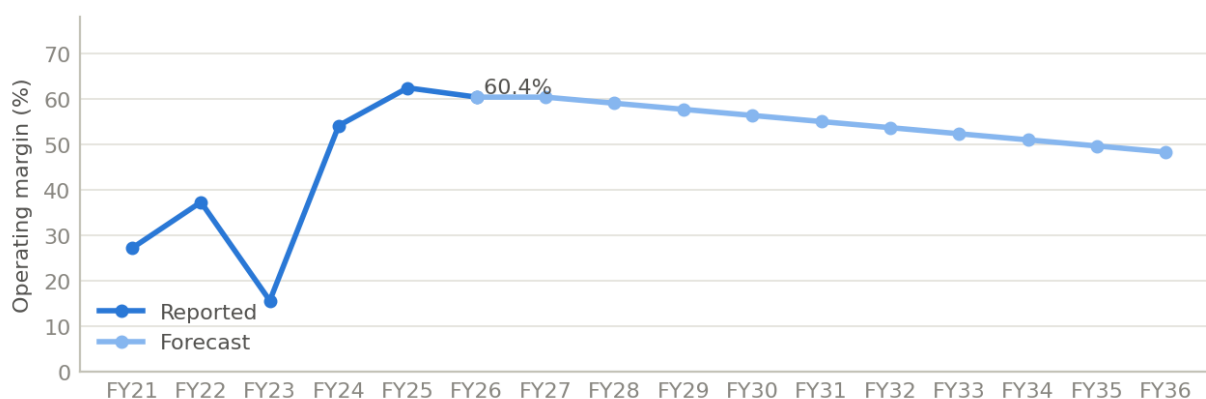
Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [5] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
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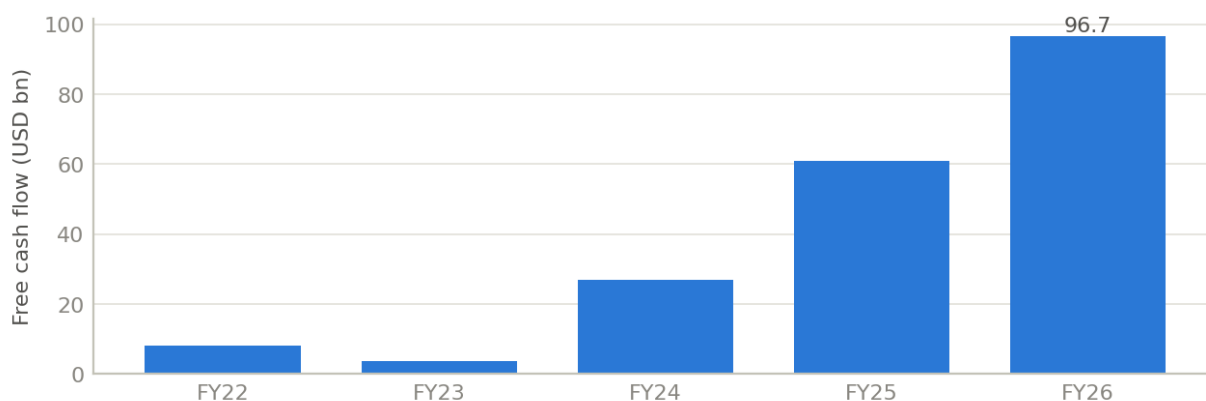
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by AI platform leadership and expanding compute demand, but supply chain and product transition risks could temper near-term momentum.

NVIDIA's fiscal 2026 revenue surged 65% year-over-year to \$215.9 billion, with Data Center revenue up 68% and Gaming revenue up 41%, primarily fueled by accelerated computing and AI adoption, especially the Blackwell platform [1]. This indicates that NVIDIA's AI-focused architectures are the core growth engine, reflecting strong market demand for AI infrastructure. However, the sustainability of this growth depends on continued innovation and customer adoption of new platforms like Blackwell, which management is actively advancing.

The company is increasing U.S.-based manufacturing investments to strengthen supply chain resilience and meet AI infrastructure demand, but acknowledges risks in scaling production timely due to ecosystem constraints and macroeconomic factors [2][8]. This suggests that while NVIDIA aims to secure supply to support growth, execution risks remain that could cause supply bottlenecks or inventory volatility. Persistent supply tightness, especially for advanced architectures, could limit near-term revenue growth despite strong demand [3].

NVIDIA's product transition cadence is accelerating, with annual new Data Center solutions and multiple architectures shipping simultaneously [8]. While this strategy aims to capture diverse AI opportunities, it introduces complexity that can cause revenue volatility and margin pressure, as seen with inventory charges related to Blackwell excess inventory [1][8]. The ability to manage these transitions effectively will determine if NVIDIA can sustain its growth trajectory or face disruptions from customer delays or inventory write-downs.

Automotive and industrial AI applications are emerging growth drivers, with new offerings like Alpamayo and partnerships expanding NVIDIA's platform into autonomous vehicles and robotics [3]. This diversification beyond core Data Center and Gaming markets could provide durable revenue streams as AI adoption broadens across industries. However, the scale and timing of these opportunities remain prospective and dependent on ecosystem development and customer deployment cycles.

- 65% revenue growth in fiscal 2026 driven by AI and accelerated computing platforms signals strong market demand but requires ongoing innovation [1].
- 68% Data Center revenue growth underscores NVIDIA's leadership in AI infrastructure, a key sustainable growth pillar [1].
- Supply chain investments in U.S. manufacturing aim to mitigate risks but depend on ecosystem capacity and macroeconomic stability [2][8].
- Product transition complexity increases risk of revenue volatility and margin pressure, as evidenced by \$4.5 billion inventory charge [1][8].
- Automotive revenue up 39% with new AI platforms indicates expanding AI applications beyond core markets, though still early-stage [1][3].
- Strategic inventory build and purchase commitments reflect management's confidence in long-term demand but also raise near-term execution risk [3].

What it means. NVIDIA's growth is anchored in AI platform dominance and expanding compute demand, but investors should monitor supply chain execution and product transition risks that could impact near-term revenue stability.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25
- [3] Q42026 Quarterly Report - Corrected Transcript - p.6
- [4] Q42026 Earnings Release (8-K) - p.6
- [5] FY2026 Earnings Release - NVIDIA Corporation - p.6
- [6] Q32026 Earnings Release (8-K) - p.5
- [7] Q22026 Earnings Release (8-K) - p.5
- [8] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16

COMPETITIVE POSITION

NVIDIA faces intensifying competition and supply chain challenges that could pressure margins and market share, but its innovation and scale provide resilience.

NVIDIA operates in highly competitive markets with rivals that often have greater resources, longer histories, and integrated manufacturing capabilities, such as AMD, Intel, and Huawei, as well as large cloud providers developing internal AI hardware solutions [3][1]. This competitive landscape means NVIDIA must continuously innovate and manage pricing

pressures to maintain its market share. The presence of competitors with fabrication facilities and extensive IP portfolios suggests NVIDIA's reliance on third-party foundries is a vulnerability that could limit its agility and cost competitiveness. This dynamic is likely to persist given the capital intensity and rapid technological evolution in semiconductor markets, and any failure to keep pace with competitors' product features or pricing could erode NVIDIA's position.

Export controls and geopolitical factors have already harmed NVIDIA's competitive position, particularly in China, where government policies encourage customers to favor domestic suppliers and restrict access to NVIDIA's products [2]. These restrictions complicate NVIDIA's ability to serve key markets and may accelerate customer shifts to alternative providers or internal solutions. The sustainability of NVIDIA's competitive advantage is thus contingent on the resolution or easing of export controls and its ability to adapt supply chains and product offerings accordingly. Prolonged or expanded restrictions could permanently reduce NVIDIA's addressable market and revenue growth potential in critical regions.

Supply chain constraints and long manufacturing lead times create significant risks for NVIDIA's ability to meet demand and manage inventory effectively [1][6][8]. The company's strategy to increase U.S.-based manufacturing aims to mitigate these risks and enhance supply chain resilience [5][7]. However, scaling domestic production depends on ecosystem capacity and may face delays, which could exacerbate supply-demand mismatches and increase costs. The complexity of frequent product transitions further complicates demand forecasting and inventory management, potentially leading to margin pressure from excess inventory write-downs or lost sales. These operational challenges are structural and will likely persist unless NVIDIA successfully executes its manufacturing expansion and demand planning improvements.

Despite these headwinds, NVIDIA's strong revenue growth driven by AI and accelerated computing platforms indicates robust demand for its differentiated products [4]. However, the company's gross margin compression due to product transitions and inventory charges signals that competitive and supply chain pressures are already impacting profitability. The durability of NVIDIA's competitive position will depend on its ability to sustain innovation cycles, manage supply chain risks, and navigate geopolitical constraints while maintaining pricing power. Failure in any of these areas could undermine its growth trajectory and financial performance.

- NVIDIA's competitors include AMD, Intel, Huawei, and large cloud providers with internal AI hardware teams, indicating a crowded and resource-rich competitive field [3].
- Export controls have restricted NVIDIA's access to China, a key market, and may permanently shift demand to local competitors [2].
- Long manufacturing lead times exceeding 12 months and supply chain constraints have forced NVIDIA to pay premiums and increase costs, pressuring margins [1][6].
- NVIDIA is investing in U.S.-based manufacturing to improve supply chain resilience, but success depends on ecosystem capacity and timely scale-up [5][7].
- Frequent product architecture transitions increase complexity and risk of inventory write-downs, as seen with Blackwell-related charges impacting gross margins [4][7].
- Strong fiscal 2026 revenue growth (+65%) driven by AI platforms shows demand strength but margin pressures highlight competitive and operational challenges [4].

What it means. NVIDIA's competitive position is challenged by resourceful rivals, geopolitical restrictions, and supply chain risks, making execution on innovation and manufacturing critical to sustaining growth and margins.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14

[2] FY2026 Annual Report (10-K) - Item 1 -Business - p.10

[3] FY2026 Annual Report (10-K) - Item 1 -Business - p.8

[4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[5] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.23

[6] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15

[7] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16

[8] Q12026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.30

OUTLOOK

NVIDIA's aggressive capital return and disciplined investment signal confidence in sustained growth and shareholder value creation amid evolving market conditions.

NVIDIA's Board authorized an additional \$60 billion in share repurchases in August 2025, bringing total available repurchase capacity to \$71.2 billion, with \$41 billion returned to shareholders in fiscal 2026 through buybacks and dividends representing 43% of free cash flow [1][2][5][6]. This scale of capital return reflects management's confidence in the

company's cash generation and a strategic choice to offset dilution and enhance shareholder value. The sustainability of this program depends on continued robust free cash flow and stable market conditions; any significant downturn in earnings or cash flow could prompt a suspension or reduction in repurchases.

The company's dividend payments increased substantially to \$974 million in fiscal 2026, up from \$488 million in the first half of the year, indicating a growing commitment to returning cash to shareholders alongside repurchases [1][2][3][6]. However, dividends remain subject to board discretion based on what is deemed in shareholders' best interests, implying flexibility to adjust payouts if capital needs shift. This suggests dividends are a secondary but meaningful component of capital allocation, likely to persist if earnings remain strong but vulnerable to cuts if investment demands intensify.

NVIDIA's capital allocation strategy balances aggressive buybacks with disciplined investment in technology and ecosystem development, aiming to drive long-term growth and total shareholder returns above peers [5]. The inclusion of stock-based compensation in non-GAAP results signals transparency in cost management and an emphasis on talent retention as a growth enabler. This approach is sustainable if NVIDIA continues to generate strong free cash flow and maintain its competitive edge; however, increased capital expenditure or market disruptions could constrain buybacks and dividends.

Management's outlook for Q1 FY2027 anticipates \$78 billion in revenue, driven mainly by Data Center growth, with gross margins expected in the mid-70% range [5]. The exclusion of Data Center compute revenue from China in guidance reflects geopolitical risk management, which could limit near-term growth but also reduces exposure to regulatory uncertainties. Sustained margin levels and revenue growth depend on successful navigation of supply chain and geopolitical challenges, making the outlook cautiously optimistic but contingent on external factors.

- \$71.2 billion total share repurchase authorization as of August 2025 signals strong capital return capacity.
- \$41 billion returned to shareholders in fiscal 2026 equals 43% of free cash flow, showing disciplined cash deployment.
- Dividends paid reached \$974 million in fiscal 2026, doubling from prior periods, indicating increased shareholder income.
- Q1 FY2027 revenue guidance of \$78 billion, with mid-70% gross margins, reflects confidence in Data Center growth despite China exclusions.
- Stock-based compensation now included in non-GAAP results highlights focus on talent retention as a growth driver.
- Share repurchase program remains flexible and may be suspended, underscoring dependence on market and operational conditions.

What it means. NVIDIA's robust capital return program combined with disciplined investment supports a positive outlook for sustained shareholder value, though execution depends on maintaining strong cash flow and managing geopolitical risks.

Sources cited above.

- [1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [3] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
- [5] Q42026 Quarterly Report - Corrected Transcript - p.6
- [6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
- [7] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
- [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Export Controls Disrupting Supply and Sales U.S. and allied export restrictions limit NVIDIA's ability to sell key products globally, especially in China, reducing revenue and increasing compliance costs.	High, ongoing trend	Could reduce Compute & Networking segment revenue by up to 20%, impacting over \$10bn annually	Could push fair value down from \$119.24 to near bear case \$54.47 (-54%) if restrictions intensify	Quarterly revenue growth rate in China and Asia-Pacific region declining or negative

Risk	Likelihood	Financial impact	Valuation impact	What to watch
China Regulatory Penalties and Restrictions Chinese antitrust findings on Mellanox acquisition compliance may lead to fines or operational restrictions, harming sales and R&D; in a key market.	Medium, regulatory process ongoing	Potential fines and restrictions could reduce China revenue by 10-15%, roughly \$5-7.5bn annually	Could reduce fair value by 20-30%, lowering base case closer to \$83-\$95 range	Public announcements of regulatory penalties or restrictions from Chinese authorities
Customer Concentration Risk Heavy reliance on a few large customers (top two accounted for 36% of revenue in FY2026) exposes NVIDIA to significant revenue loss if these customers reduce orders or switch suppliers.	Medium	Loss or significant order reduction from one major customer could cut total revenue by 15-20%, about \$7.5-10bn	Could lower fair value by approximately 25-35%, moving base case down to \$77-\$90	Quarterly revenue contribution from top two customers declining by >10% sequentially
Supply Chain Disruptions from Export Controls Export controls and geopolitical tensions increase supply chain complexity and costs, causing delays and excess inventory, reducing margins and growth.	High	Operating margin compression by 5-10 percentage points on Compute & Networking segment, impacting \$15bn+ revenue	Could reduce fair value by 15-20%, lowering base case to ~\$95-\$101	Rising inventory levels and supply chain-related operating expenses reported quarterly
R&D; Execution Delays Due to Export Restrictions Deemed export controls limit collaboration and talent mobility, delaying product roadmap execution and innovation, reducing future growth potential.	Medium	Slower product launches could reduce revenue CAGR by 3-5 percentage points, impacting long-term growth	Could reduce fair value by 10-15%, lowering base case to ~\$101-\$107	Delays in product launch announcements or R&D; expense growth slowing relative to revenue growth

COMPETITIVE MOAT

Moat rating: Narrow

NVIDIA possesses a narrow moat primarily driven by its technological leadership and ecosystem in GPUs and AI computing, but intense competition and rapid innovation cycles limit the durability of its high terminal margin assumption of 48.3%. This margin appears optimistic given the competitive pressures and potential margin erosion over time.

Sources of advantage:

- Technological leadership in GPUs and AI-accelerated computing solutions with proprietary architectures and software stack
- Strong ecosystem and developer base supporting NVIDIA's CUDA platform and AI frameworks
- Scale advantages in design, manufacturing partnerships, and supply chain management
- Intellectual property portfolio including patents and proprietary rights protecting key technologies

Threats to the moat:

- Increasing competition from AMD, Intel, and emerging players offering GPUs, CPUs, DPUs, and SoCs with competitive performance and pricing
- Large cloud service providers (Amazon, Microsoft, Alphabet, Alibaba) developing internal AI hardware reducing reliance on NVIDIA
- Potential new entrants or alliances that could disrupt market share with innovative or lower-cost solutions
- Rapid technological change requiring continuous investment and adaptation to maintain leadership

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Competitive environment	We expect competition to increase from existing competitors and new entrants, including large cloud providers with internal hardware teams.	We model sustained intense competition and margin pressure from these players, limiting pricing power and margin expansion.	Aligned
Revenue growth	We anticipate strong demand for AI and accelerated computing products driving growth.	We model a robust but more conservative year-1 revenue growth of 50%, reflecting competitive risks and market dynamics.	Aligned
Terminal operating margin	Implied by their growth and profitability guidance, NVIDIA expects to sustain very high margins.	We are more cautious, modeling a terminal margin of 48.3% which we view as aggressive given competitive threats and cost pressures.	More cautious
Moat durability	NVIDIA emphasizes its technological leadership and IP as durable competitive advantages.	While acknowledging these advantages, we see them as narrow moats vulnerable to rapid innovation and competition from large, resourceful rivals.	More cautious

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q1 FY2027 Earnings Release	Late July 2026	Two-sided	Quarterly revenue growth rate
Rubin GPU Architecture Ramp-up Commentary	Q2 FY2027 Earnings Call, October 2026	Positive	Sequential data center revenue growth
Gaming Segment Revenue Guidance for FY2027	Q2 FY2027 Earnings Call, October 2026	Two-sided	Year-over-year gaming revenue growth
Update on Supply Chain and Manufacturing Capacity	Q3 FY2027 Earnings Call, January 2027	Two-sided	Inventory levels and capacity utilization

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Data Center Revenue Growth	Sequential increase of >\$10 billion in Q4 FY2026	Strong growth but expected to moderate	Sequential growth to continue but at a slower pace as Rubin ramps	Data center revenue is the largest driver of valuation and growth assumptions
Gaming Revenue Growth	Uncertain due to memory supply issues	Potential pressure or flat growth in FY2027	Modest year-over-year growth or flat revenue in gaming segment	Gaming is a significant revenue segment; growth or contraction impacts overall revenue CAGR
Cloud Customer CapEx Trends	Cloud CapEx near \$700 billion in calendar 2026	Potential slowdown or compression in cloud CapEx growth	Moderate growth in cloud CapEx supporting NVIDIA demand	Cloud CapEx drives demand for NVIDIA's data center products
Inventory Levels and Supply Chain Complexity	Increasing inventory and supply chain complexity noted	Rising risk of inventory provisions or impairments	Stable inventory levels aligned with demand to avoid write-downs	Excess inventory or supply chain issues could pressure margins and earnings
Operating Margin	Trailing operating margin trending towards 48.3% terminal assumption	Margin expansion expected with product mix and scale	Operating margin to approach 48.3% in terminal period	Operating margin is a key driver of terminal value in valuation

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 119.24	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 254.81 (+16.0% vs price). Reconciled from USD 119.24 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 219.66. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 219.66	Gap
Revenue CAGR (10-year)	16.2%	24.6%	+8.4pp
Operating margin (mature)	48.3%	—	—
FCF margin (mature)	40.2%	—	—
Terminal growth	2.5%	7.2%	+4.7pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	323.9bn	50.0%	60.4%	140.3bn	125.3bn
FY2028	436.6bn	34.8%	59.0%	192.3bn	153.3bn
FY2029	543.4bn	24.5%	57.7%	241.4bn	171.8bn
FY2030	638.2bn	17.4%	56.4%	283.7bn	180.3bn
FY2031	719.0bn	12.7%	55.0%	317.8bn	180.3bn
FY2032	786.6bn	9.4%	53.7%	343.7bn	174.1bn
FY2033	843.2bn	7.2%	52.3%	362.6bn	164.0bn
FY2034	891.2bn	5.7%	51.0%	375.9bn	151.8bn
FY2035	932.8bn	4.7%	49.6%	384.7bn	138.7bn
FY2036	969.9bn	4.0%	48.3%	390.3bn	125.7bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — 5pp above the 16% our top-down DCF assumes. That gap is where the growth debate on this name actually sits.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	30.0%	36.3%	2.0%	13.5%	USD 54.47	-75%	25%
Base case	50.0%	48.3%	2.5%	12.0%	USD 119.24	-46%	50%
Bull case	70.0%	60.3%	3.0%	10.5%	USD 275.18	+25%	25%

Probability-weighted value USD 142.03 (-35.3% vs price). Range USD 54.47 to USD 275.18, a spread of 185% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 30%, the sustainable operating margin settles near 36%, and the market prices the added risk through a 13.5% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 50% decaying toward 2.5%, a terminal margin of 48%, discounted at 12.0%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 70%, margins recover toward 60%, and an easing risk premium lowers the discount rate to 10.5%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

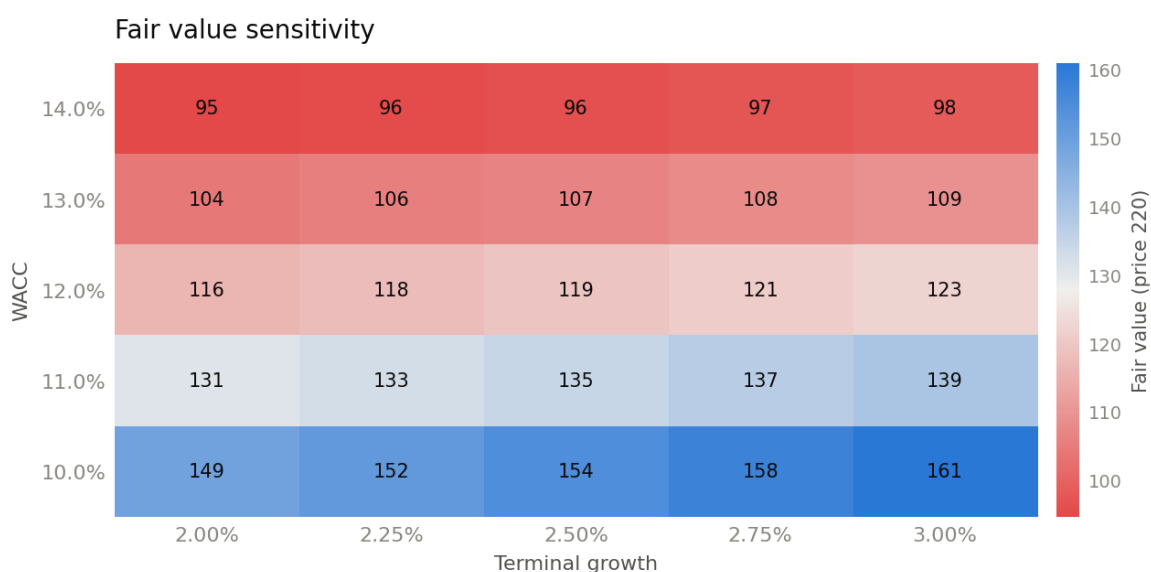
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Beta (long-horizon)	1.61x	Derived from filings	0.75×1.81 (Blume) + 0.25×1.00 , the average beta over a 10-year horizon
Size premium	-1.5%	Standard default	Build-up size premium for a mega-cap (market cap USD 5,321bn)
Cost of equity	12.0%	Derived from filings	CAPM build-up: $4.65\% + 1.61 \times 5.50\% - 1.5\%$ size
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.65\% + 1.5\%$ investment-grade spread
WACC (discount rate)	12.0%	Derived from filings	100% equity $\times 12.01\% + 0\%$ debt $\times 6.15\% \times (1 - 13\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	50.0%	Model estimate (bounded)	Model estimate 50%, bounded to [33%, 65%] from reported growth of 65%
Terminal operating margin	48.3%	Model estimate (bounded) (bounded)	Model estimate 48.0%, normalised down from today's 60.4%; kept within a maturity band of [48.3%, 62.4%] (floor 80% of current, set by steady margins; ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	761.2bn	118.9x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	60.7x	44.0x	24.6x
Intel Corporation (INTC)	494.0bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	171.5bn	18.9x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	31.0x	4.7x	3.3x

Implied value applies the peer median P/E of 45.9x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- A second-pass calibration review revised one or more forward assumptions (see the assumption rationales below); the fair value reflects the revised set.
- The analyst consensus (USD 300.00) sits 152% above our intrinsic DCF (USD 119.24). The blended value reconciles the two; read it as a triangulation, not a precise number.
- The bull-to-bear range spans 185% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Our intrinsic value (USD 119.24) sits 46% below the market price and 60% below the analyst consensus (USD 300.00). On this name we are the outlier: read it as a specific, assumption-driven contrarian view, and check the assumptions and the 'what is priced in' table before relying on it.
- Terminal operating margin was constrained to 48.3% (estimate was 48.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quartr/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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